

Unit 2**Economic Environment****Structure:**

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2.1 Introduction

In the previous unit, we studied about the social environment of business. In this unit we will study the economic environment of business. A company has to work within the economic framework of the country. The economic framework is the level of income in the country, the external conditions that affect the economy, and the economic policies that affect the economy. The economic environment affects the way a business operates. When the

economy is growing and business is booming, there will be more jobs and people have greater purchasing power. This means companies are able to sell more, and introduce new products and expand the business. External factors like slowdown in global economies can affect companies that sell in international markets. Rise in oil prices can affect the transportation costs. Hence, when a company has to decide which product to sell, or at what price, it has to consider the economic environment that it operates in. This unit explains what is meant by the economic environment of business.

Objectives:

After studying this unit, you should be able to:

- recognize the Nature of the Economic Environment in which business operates.
- discuss the Global Economic Environment
- explain how Fiscal and Monetary Policy operates
- identify the ways Economic Policies can change Aggregate Demand

2.2 Economic Environment of Business

An economic environment is the total number of economic factors that make up the economy. Economic environment is of two types: microeconomic and macroeconomic. The microeconomic environment includes information relating to the economic situations of individuals in society. The macroeconomic environment includes economic factors relating to the aggregate economic information of business industries, sectors or other particular groups of individuals and businesses. The present day economic environment is a complex one. The business sector has economic relation with the government, household sector, capital market and the global sector. These different sectors influence the trends and structure of the economy. The economic environment may be classified on different criteria such as:

- Space- Local, regional, national and international
- Time- Past, present and future
- Forces-Market and Non market

The structure of any economic system is conditioned by the ongoing socio political environment. They influence the macroeconomic decision making. India, for example, is a democratic country, hence in such a set up, the public can influence directly or indirectly the decisions taken by the

government. In contrast, for example in China, the public do not have democratic rights, hence crucial decisions for the country is taken by the autocratic party in power without any public influence. Whether decisions are centralized (decided only by the top level government officials) or decentralized (decision making starts from the lower levels e.g. from the panchayat level) are determined by the economic structure and system. Government is the manager of the nation. Since nature of government ownership is political in nature, we must understand that political decisions have got far reaching economic implications. The control and regulation of economic activities of a country provide form and shape to the nature of economic organization. We will be learning more about Economic Systems in the next unit.

Social choice and community preferences direct macroeconomic decisions. Choices made by business corporations, individuals and society affect national decisions taken by the economy as a whole. Let us look closely at some of the factors that constitute the functioning of the economy.

- i) **Free Market Economy and Centralized Economies:** By free market mechanism we mean the free play of the forces of market demand and market supply. Commodity prices, factor (input) prices and income distribution can be determined by the market mechanism or can be fixed by the government.
- ii) **Welfare State Principle:** The basic objectives of government policies are growth, efficiency and equity. The welfare state principle induces the government to enforce minimum wages, commodity control, fair trade prices etc. Social responsibilities of business are a direct outcome of the social welfare motive cultivated by national governments.
- iii) **Closed and Open Economies:** Modern economies are open to international trade and co-operation. The maintenance of stable growth in the developed countries is dependent on the acceleration of growth in the developing countries. Only then would the developed countries be able to expand and market their goods. This idea has given new dimension to the role of the multinational corporations (MNCs), the ecological balance and transfer of technology.

The above facts define the environment in which modern firms must operate. Thus the things which a business has to keep in mind are:

- Market or the Non-Market Environment
- Objectives of National Planning
- Policies of the Government
- Social Responsibilities
- Structure and pace of Economic Changes
- International Business Environment

Thus we cannot segregate the national and the global environment since in modern times both are closely interlinked with each other.

We will now understand certain concepts which are integral to the understanding of the economic environment.

2.2.1 Money supply

The word money stands for anything that is generally accepted as a medium of exchange and at the same time can be used as a measure and a store of value. Money supply is the total stock of money available to a society for use in connection with the economic activity of the nation at a point of time. Money supply consists of two elements, namely:

- Currency with the public, and
- Demand deposits with the public.

The term public refers to households, firms and institutions other than banks and the government. While the public use money, banks and the government are the money producers. Currency with the public is the sum total of the currency notes and coins in circulation issued by the Reserve Bank. The cash reserves with banks must remain with them and hence have to be deducted from the total currency notes and coins.

The demand deposits with the public are the bank deposits held by the public. Bank deposits are either demand deposits or time deposits. While demand deposits can be withdrawn by the public by drawing cheques on them, time deposits mature only after a fixed period and are money that people hold as a store of value.

2.2.2 Aggregate demand

Aggregate demand (AD) is the total demand for final goods and services in the economy at a given time and price level. It is the amount of goods and

services in the economy that will be purchased at all possible price levels. This is the demand for the gross domestic product of a country.

$$AD = C + I + G + (X-M)$$

Where:

C = Consumers' expenditure on goods and services: This includes demand for consumer durables (e.g. washing machines, audio-visual equipment and motor vehicles) & non-durable goods such as food and drinks which are consumed.

I = Capital investment: This is investment spending by companies on **capital goods** such as new plant and equipment and buildings. Investment also includes spending on **working capital** such as stocks of finished goods and work in progress.

G = Government spending: This is government spending on state-provided goods and services including public and merit goods. Decisions on how much the government will spend each year are affected by developments in the economy and also the changing political priorities of the government. In a normal year, government purchases of goods and services accounts for around twenty per cent of aggregate demand.

Transfer payments in the form of welfare benefits (e.g. pensions) are not included in general government spending because they are not a payment to a factor of production for any output produced. They are simply a transfer from one group within the economy (i.e. people in work paying income taxes) to another group (i.e. pensioners drawing their pension having retired from the labour force).

The next two components of aggregate demand relate to **international trade in goods and services** between an economy and the rest of the world.

X = Exports of goods and services: Exports sold overseas are an **inflow** (an injection) into our circular flow of income and therefore add to the demand for the country's output.

M = Imports of goods and services: Imports are a **withdrawal of demand** (a leakage) from the circular flow of income and spending. Goods and services come into the economy for us to consume and enjoy, but there is a flow of money out of the economy to pay for them.

Net exports (X-M) reflect the net effect of international trade on the level of aggregate demand. When net exports are positive, there is a **trade surplus** (adding to Aggregate Demand); when net exports are negative, there is a **trade deficit** (reducing Aggregate Demand).

2.2.3 Inflation

In economics, inflation is a rise in the general level of prices of goods and services in an economy over a period of time. When the general price level rises, each unit of currency buys fewer goods and services. Consequently, inflation also reflects a reduction in the purchasing power of money, a loss of real value in the internal medium of exchange in the economy. A chief measure of price inflation is the inflation rate, the annualized percentage change in a general price index (normally the Consumer Price Index) over time. It is calculated by subtracting the last year's price index from this year's index, dividing that difference by the last year's index and multiplying by 100. Suppose price index was 200 in 2010 and 210 in 2011.

Then

$$\text{Inflation rate} = (210-200)/200 = 0.05 = 5\%$$

The effects of inflation on an economy can be simultaneously positive and negative. Negative effects of inflation include a decrease in the real value of money and other monetary items over time; uncertainty over future inflation may discourage investment and savings, and high inflation may lead to shortages of goods if consumers begin hoarding in view of price increase in the future. Positive effects include adjusting interest rates by central banks (intended to mitigate recessions), and encouraging investment in capital projects. Today, most mainstream economists favor a low, steady rate of inflation. Low (as opposed to zero or negative) inflation may reduce the severity of economic recessions.

Economists have attempted to distinguish cost and demand inflation. Cost inflation is started by an increase in some elements of costs, for example the oil price explosion of 1973-4. Demand inflation is due to too much aggregate demand.

2.2.4 Balance of payment

A country's balance of payments is a record of its economic transactions with the rest of the world. This record shows whether a country has a trade

surplus (value of exports exceeds value of imports) or a trade deficit (imports exceed value of exports). Trade figures can be further divided into merchandise trade and services trade accounts; a country can run a surplus in both accounts, a deficit in both accounts, or a combination of the two. Japan enjoys an overall trade surplus and serves as a creditor nation.

2.2.5 Foreign exchange

Foreign exchange provides a means for settling accounts in different currencies. The dynamics of international finance can have a significant impact on the nation's economy as well as the fortunes of individual companies. Currencies can be subject to devaluation as a result of actions taken by a country's central bank. Currency trading by international speculators can also lead to devaluation. When a country's economy is strong or when demand for its goods is high, its currency tends to appreciate in value. When exchange rates of currency fluctuate, firms face various types of economic exposure. These include transaction exposure and operating exposure. Firms can manage exchange-rate exposure by hedging, for example, by buying and selling currencies and the forward market.

Self Assessment Questions

Fill in the blanks:

1. Inflation is a _____ in the general level of _____ of goods and services in an economy over a period of time.
2. Aggregate demand (AD) is the total _____ for final _____ and _____ in the economy at a given time and _____.
3. Money supply consists of _____ with the public, and _____ with the public.
4. *Select the right option:*
A country's balance of payments is a record of its _____ with the rest of the world. (economic transactions, non-economic transactions, both of these)

2.3 The Global Economic Environment

The global economy can be traced back hundreds of years when traders from the East and West came together to exchange goods. Through the legacy of mercantilism up to the current GATT Round, marketers have had to contend with changes and developments in the economic environment,

including the growth of regional economic blocs, all aimed at increasing cooperation between the grouped nations.

Markets differ widely in their size and state of development worldwide. It would be too easy to classify these markets as "rich" or "poor", "developed" or "less developed", although this is often done for ease of analysis. There are great differences within a country and marketers have to be aware in assessing market potential that they do not use general descriptions of nations as criteria of whether to, or whether not to, open trade negotiations.

2.3.1 World Bank Classification

For operational and analytical purposes, the World Bank's main criterion for classifying economies is, Gross National Income (GNI) or Gross National Product, or GNP per capita.

(Gross National Product: Total market value of the finished goods and services manufactured within the country in a given financial year, plus income earned by the local residents from investments made abroad, minus the income earned by foreigners in the domestic market). Based on its GNI per capita, every economy is classified as low income, middle income (subdivided into lower middle and upper middle), or high income. Other analytical groups based on geographic regions are also used.

Geographic region: Classifications and data reported for geographic regions are for low-income and middle-income economies only. Low-income and middle-income economies are sometimes referred to as developing economies. The use of the term is convenient; it does not mean that all economies in the group are experiencing similar development or that other economies have reached a preferred or final stage of development.

Income group: Economies are divided according to 2009 GNI per capita, calculated using the World Bank Atlas method. The groups are:

- **Low income economies:** These are countries whose GNP (Gross National Product) per capita income is \$995 or less;
- **Lower middle income:** These are countries whose GNP per capita is between \$996 - \$3,945;
- **Upper middle income:** These are countries whose GNP per capita is \$3,946 - \$12,195; and

- **High income:** These are countries whose GNP per capita is \$12,196 or more.

In Table 4.1 we see 25 countries classified according to the above classifications.

Table 4.1

SL.NO.	Economy	Income group
1	Afghanistan	Low income
2	Bangladesh	Low income
3	Ethiopia	Low income
4	Nepal	Low income
5	Zimbabwe	Low income
6	Bhutan	Lower middle income
7	China	Lower middle income
8	India	Lower middle income
9	Indonesia	Lower middle income
10	Pakistan	Lower middle income
11	Sri Lanka	Lower middle income
12	Thailand	Lower middle income
13	Brazil	Upper middle income
14	Cuba	Upper middle income
15	Iran, Islamic Rep.	Upper middle income
16	Libya	Upper middle income
17	Malaysia	Upper middle income
18	Mexico	Upper middle income
19	Australia	High income: OECD
20	France	High income: OECD
21	Germany	High income: OECD
22	Israel	High income: OECD
23	Japan	High income: OECD
24	United Kingdom	High income: OECD
25	United States	High income: OECD

Source: World Bank

Countries in the first two categories are sometimes known as less developed countries (LDCs). Upper middle income countries with high

growth rates are often called newly industrializing economies (NIEs). Several of the world's economies are notable for their fast growth; the big emerging markets (BEMs) include China and India, Poland, Turkey, and Indonesia (lower middle income), Argentina, Brazil, Mexico, and South Africa (upper middle income), and South Korea (high income). The group of seven (G7) and Organization for Economic Cooperation and Development (OECD) represent two initiatives by high income nations to promote democratic ideals and free-market policies throughout the rest of the world. Most of the world's income is located in the Triad, which is comprised of Japan, the United States, and Western Europe. Companies with global aspirations generally have operations in all three areas. Market potential for a product can be evaluated by determining product saturation levels in the light of income levels.

2.3.2 Global market conditions

In the past fifty years the global economy has changed rapidly. Particularly marked has been the development of world economic integration and standardized products. Coca Cola, Nissan and Marlboro cigarettes are examples of products which serve nearly every market. The economic environment is a major determinant of global market potential and opportunity.

- Generally there have been four major changes:
- capital movements and trade have become the driving force of the global economy
- production has become uncoupled from employment
- primary products have become uncoupled from the industrial economy and,
- The world economy is in control - individual nations are not, despite the large world economic share of the USA and Japan.

Let us now see the stages of growth of economies which help us understand better a nation's economic development. Rostow (1971) produced a five stage model of economic takeoff:

- **Stage 1:** Traditional society, little increase in productivity, no modern science application systematically, low level of literacy
- **Stage 2:** The preconditions of takeoff, modern techniques in agriculture and production, developments in infrastructure and social institutions

- **Stage 3:** The takeoff, normal growth patterns, rapid agricultural and industrial modernization, good social environment.
- **Stage 4:** The drive to maturity, modern technology applied to all fronts, international involvement, can produce anything
- **Stage 5:** The age of high mass consumption, production of durable goods and services.

These classifications enable marketers to assess where and how to operate in countries which may display the stage characteristics. For example, African exporters would look to stage 4 and 5 economies to obtain the greatest revenue opportunities for their produce.

Another way to assess the market alternatives to a potential global marketer is to look at the origin of its national product, for e.g. is it farm or factory generated? Farm workers tend to have low incomes. Input-output tables provide other insights into a country's potential, that is, what inputs go into a particular industry's output? What combination of labour, materials and equipment?

Self Assessment Questions

Fill in the blanks:

5. Rostow produced a _____ stage model of economic _____.
6. World Bank has divided economies into _____, _____, _____ and _____ Economies according to the country's _____.

2.4 Economic Policies

Economic policies refer to the monetary and fiscal policies that affect the growth rate of the economy and the attained price stability in the economy. Economic policies can be expansionary or contractionary. Monetary policy works through the effect on the money supply, whereas fiscal policy works through Government expenditure and the taxation policies.

2.4.1 Fiscal policy

Fiscal Policy is a tool, in the hands of the Government, to influence the level of GDP in the short run, by using taxes and Government Spending. It is about bringing changes in taxes and spending, so as to affect the demand for goods and services and hence the output in the short run. The budget deficit is the difference between its spending and its tax collections. When a

Government increases its spending or cuts taxes to stimulate the economy, it will increase the government's budget deficit.

Fiscal Policy is a very important tool of macroeconomic policy. It is also an important tool to stabilize the economy, i.e. to overcome recession and to control inflation. So basically fiscal policies are a set of guidelines for the government's earning and spending. The fiscal policy aims at regulating the aggregate demand by suitable changes in these two variables.

The expansionary fiscal policy is used to cure recession. In this policy the government expenditure is increased and the taxes are reduced. Both these measures increase the money supply and thus raise the aggregate demand in the economy. Contractionary fiscal policy on the other hand prescribes a decrease in the government expenditure and an increase in the tax rates. This would decrease the money supply leading to a fall in the aggregate demand and the general price level so as to control inflation. While an expansionary fiscal policy enlarges the budget deficit, the contractionary fiscal policy reduces it.

2.4.2 Monetary policy

Monetary Policy is a tool that incorporates the actions that the Reserve Bank takes to influence the level of GDP. The Reserve Bank can influence the level of output in the short run, through open market operations, changes in reserve requirements or changes in the discount rate. These tools can be used to form a suitable monetary policy during the times of both recession and inflation. The aggregate demand can be raised during recession time by adopting an expansionary or easy monetary policy while it can be used to control inflation through a contractionary or tight monetary policy.

Monetary policy regulates the money supply in an economy. It is concerned with the cost and availability of credit. The broad objectives of monetary policy are :

- To establish equilibrium at full employment level of output
- Ensure price stability by controlling inflation and deflation
- Promote economic growth of an economy
- Control Credit Availability
- Stability of Exchange Rate
- Control of Money Supply

2.4.3 Instruments of monetary policy

There are various methods and instruments which the Reserve Bank uses. Some are general or quantitative methods which control and adjust the total quantity or size or volume of deposits created by the commercial banks. There are others known as selective or qualitative controls as they control certain types of credits. The former controls the volume (stock) of money and credit, while the latter controls the availability (flow) of money and credit.

2.4.4 General or quantitative controls

These are the controls that relate to the volume and cost of bank credit in general without regard to the particular economic activity for which the credit is used. There are three instruments in this method:

(i) Bank rate or discount rate: This is the rate which the Reserve Bank charges for giving loans to the commercial banks. When a commercial bank has low or no cash reserves above the legal requirements, it may obtain cash reserves from the Reserve Bank at an interest rate which is the bank rate.

If there is more inflation in the economy, the bank rate is raised. This causes the commercial banks also to increase their interest rate. This is the interest rate of loans which increases causing less of business activity. This causes contraction of income and expenditure, causing reduction in the demand for goods resulting in a fall in prices.

(ii) Open market operations: The direct buying and selling of government securities and Bills in the money market by the Reserve Bank with the objective of expansion or contraction of credit and economic activity is known as open market operations. If the securities are purchased then there will be an outflow of money. This will have an expansionary effect on income, employment, output and prices.

(iii) Reserve requirement: Commercialized banks are legally required to keep a part of their total deposits with the Reserve Bank of India. This is known as Statutory Liquidity Ratio (SLR). Changes in reserve requirements affect the amount of reserves that commercial banks must keep as deposits with the Reserve Bank and consequently the amount available for lending or investing. By raising the reserve ratio to be maintained by every bank, the Reserve Bank can reduce the volume of bank credit and by lowering the

reserve ratio, it can expand the volume of bank credit. Hence, changes in reserve requirements are a powerful weapon for influencing the volume of bank deposits and the money supply.

2.4.5 Selective or qualitative controls

There are several methods by which selective controls can be imposed:

(i) Margin requirements: The Reserve Bank can order the commercial banks to lend an amount lower than the value of security. If margin requirement is 40%, then commercial banks can lend only up to 60% of the value of a security.

(ii) Control through Directives: The Reserve Bank may give directions to commercial banks in respect of their lending policies about the purpose for which advances may be made and the margin to be maintained in respect of secured loans.

(iii) Moral suasion: It implies request and persuasion made by the Reserve Bank to commercial banks to follow the general policy of the Reserve Bank.

(iv) Regulation of consumer credit: The Reserve Bank can regulate the terms and conditions under which consumer credit is to be given by the banks.

(v) Rationing of credit: Credit rationing is a method of controlling and regulating the purpose for which credit is granted by the banks. The Reserve Bank may fix maximum amount of loans for every commercial bank. This is known as variable portfolio ceiling.

(vi) Direct Action: It refers to all the controls and directions which the Reserve Bank may enforce on all banks or any bank in particular concerning the lending and investment.

Thus monetary policy can be used to cure recession by making the Reserve Bank undertake open market operations and buy securities in the open market from banks and the general public. This would increase the availability of credit with the banks and currency with the public. Lowering of the bank rate can increase the availability of credit. Reducing the reserve ratio releases the tied up funds of the banks for providing loans. A tight monetary policy on the other hand helps suck credit from the market. The money supply will decrease and the cost of credit will rise. The general price level would decrease and inflation can be controlled using this policy.

Self Assessment Questions

Fill in the blanks:

7. Fiscal Policy is a tool, used by the Government, to influence the level of GDP in the short run by using _____ and _____.
8. The direct buying and selling of government securities and bills in the money market by the Reserve Bank with the objective of expansion or contraction of credit and economic activity is known as _____.
9. *Select the right option:*
This fiscal policy is used to cure recession. (contractionary, expansionary, Both of these)
10. The _____ rate is charged by the Reserve Bank for giving loans to the commercial banks.

2.5 Business and Economic Policies

Economic policies not only directly affect business environment, they also change the aggregate demand which causes a huge impact on the business activities. Let us see the different factors which can change aggregate demand.

2.5.1 Stabilization policy

The government can use either fiscal or monetary policy to alter the level of Gross Domestic Product (GDP). If the current level of GDP is below full employment, the government can use expansionary policies such as:

- Tax cuts
- Increased spending
- Increases in money supply to raise the level of GDP and
- Reduce unemployment

Both expansionary and contractionary policies are examples of stabilization policies. Stabilization policies are a set of actions that reduce the level of GDP, back to full potential output.

It is very difficult to stabilize the level of aggregate output. This is because there are lags, delays in stabilization of policies. Lags arise because decision makers are often slow to recognize and respond to changes in the economy, and policies take time to operate.

In fact poorly timed policies can magnify economic fluctuations. Suppose GDP was currently below full employment but would return to full

employment on its own within a year and that stabilization policies took a full year to become effective; If policymakers tried to expand the economy today, their actions would not take effect until a year from now. But one year from now, if stabilization policies were enacted, the economy would be stimulated unnecessarily and output would exceed full employment.

2.5.2 Policy mix

Policy mix refers to the combination of monetary and fiscal policies in use, at a given time. A policy mix that consists of a decrease in government spending and an increase in money supply would favour investment spending over government spending. This is because both the increased money supply and the fall in government purchases would cause the interest rate to fall, which would lead to an increase in planned investment. The opposite is true for a mix that consists of an expansionary fiscal policy and a contractionary monetary policy. This mix favours government spending over investment spending. Such a policy will have an impact of increasing government spending and reducing the money supply.

2.5.3 Factors causing change in aggregate demand

Changes in expectations: The current spending is affected by anticipated future income, profit, and inflation. The expectations of consumers and businesses can have a powerful effect on planned spending in the economy. E.g. expected increases in consumer incomes or wealth or company profits, encourage households and firms to spend more, boosting Aggregate Demand. Similarly, higher expected inflation encourages spending now, before price increases come into effect, a short term boost to Aggregate Demand. When confidence turns lower, we expect to see an increase in saving and some companies deciding to postpone capital investment projects because of worries over a lack of demand and a fall in the expected rate of profit on investments.

Changes in monetary policy (i.e. a change in interest rates)

An expansionary monetary policy will cause interest rates to fall. This lowers the cost of borrowing and the incentive to save, thereby encouraging consumption. Lower interest rates encourage firms to borrow and invest. There are time lags between changes in interest rates and the changes on the components of aggregate demand.

Changes in fiscal policy

Fiscal Policy refers to changes in government spending, welfare benefits and taxation, and the amount that the government borrows. For example, the Government may increase its expenditure e.g. financed by a higher budget deficit, this directly increases Aggregate Demand. Income tax affects disposable income e.g. lower rates of income tax, raise disposable income and should boost consumption. An increase in transfer payments raises Aggregate Demand particularly if welfare recipients spend a high percentage of the benefits they receive.

Economic events in the international economy

International factors such as the exchange rate and foreign income affect the business environment. A fall in the value of the pound (£) (a depreciation) makes imports dearer and exports cheaper thereby discouraging imports and encouraging exports. The net result should be that Aggregate Demand rises. The impact depends on the price elasticity of demand for imports and exports and also the elasticity of supply of exporters in response to exchange rate depreciation. An increase in overseas income raises demand for exports and therefore Aggregate Demand rises. In contrast, a recession in a major export market will lead to a fall in exports and an inward shift of aggregate demand.

Changes in household wealth

Wealth refers to the value of assets owned by consumers e.g. houses and shares. A rise in house prices or the value of shares increases consumers' wealth and allows an increase in borrowing to finance consumption, increasing Aggregate Demand. In contrast, a fall in the value of share prices will lead to a decline in household financial wealth and a fall in consumer demand.

2.5.4 Environmental degradation and Sustainable development

Environmental degradation is the deterioration of the environment through depletion of resources such as air, water and soil; the destruction of ecosystems and the extinction of wildlife. Environmental degradation is one of the Ten Threats officially cautioned by the High Level Threat Panel of the United Nations. The World Resources Institute (WRI), UNEP (the United Nations Environment Programme), UNDP (the United Nations

Development Programme) and the World Bank have made public an important report on health and the environment worldwide on May 1, 1998.

The United Nations International Strategy for Disaster Reduction defines environmental degradation as “*The reduction of the capacity of the environment to meet social and ecological objectives, and needs*”.^[2]

Environmental degradation is of many types. When natural habitats are destroyed or natural resources are depleted, environment is degraded.

Environmental Change and Human Health, a special section of World Resources 1998-99 in this report describes how preventable illnesses and premature deaths are still occurring in very large numbers. If vast improvements are made in human health, millions of people will be living longer, healthier lives than ever before. In these poorest regions of the world an estimated 11 million children, or about one in five, will not live to see their fifth birthday, primarily because of environment-related diseases. Child mortality is larger than the combined populations of Norway and Switzerland, and mostly due to malaria, acute respiratory infections or diarrhea — illnesses that are largely preventable.

Sustainable development (SD) is a pattern of resource use, that aims to meet human needs while preserving the environment so that these needs can be met not only in the present, but also for generations to come (sometimes taught as **ELF**-Environment, Local people, Future). The term was used by the Brundtland Commission which coined what has become the most often-quoted definition of sustainable development as development that "meets the needs of the present without compromising the ability of future generations to meet their own needs."^{[1][2]}

An organisation works within the economic environment and finally affects the environment that we live in. The importance of protecting the environment and renewing the resources used is an important concept that is gaining prominence.

Self Assessment Questions

11. Select the right option:

Expansionary policies involve:

- i) Tax cuts
- ii) Increased spending

- iii) Increases in money supply to raise the level of GDP and
- iv) Reduce unemployment
- v) All of the above

Fill in the Blanks:

12. A policy mix that consists of a _____ in government spending and an _____ in money supply would favour investment spending over government spending.
13. International factors such as the _____ and _____ affect the business environment.
14. An expansionary monetary policy will cause interest rates to _____.

2.6 Summary

- An economic environment has two separate environments: microeconomic and macroeconomic. The microeconomic environment relates to individuals while the macroeconomic environment relates to the aggregate economic information of business.
- A country's fiscal, monetary or economic policy can have great implications on the nation's entire economic environment.
- An important economic factor is the inflation or deflation that alters the purchasing power of the nation's currency. As the purchasing power of money changes in the economic environment, consumers often change their spending behaviors and business invests less money in operations.
- Current political systems usually change the monetary and fiscal policy of the nation in order to correct these changes by consumers and businesses. Monetary and fiscal policy in an economic environment attempts to maintain full employment, price stability and economic growth.
- Under free market principles, governments should be restricted from significantly altering the market's monetary or fiscal policy since political solutions often create more problems when correcting economic situations.
- Two other significant areas of the nation's economic environment include interest rates for borrowing and exchange rates of goods among countries. Interest rates are the cost of borrowing money usually set by a nation's central bank.

- Government agencies are usually responsible for setting the terms of importing and exporting goods in the economic marketplace. These policies help companies determine if they should import or export economic inputs or resources when producing or selling goods in the global economic marketplace.
- Thus in this unit, we have studied the impact economic environment has on the business environment.

2.7 Glossary

- **Aggregate demand:** The total amount of goods and services demanded in the economy at a given overall price level and in a given time period.
- **Balance of payments:** A record of all transactions made between one particular country and all other countries during a specified period of time.
- **Bank credit:** It includes loans, cash credit and overdrafts, and inland bills and foreign bills purchased and discounted. Bills exclude those rediscounted with RBI and IDBI.
- **Closed economy:** The idea behind the closed economy is to meet all consumer needs with the purchase and sale of goods and services that are produced internally.
- **Demand deposits:** It includes current deposits, demand liabilities, portion of savings bank deposits, overdue deposits and cash certificates, outstanding telegraphic and mail transfers and margins against letter of credit/guarantees.
- **Fiscal deficit:** This is the gap between the government's total spending and the sum of its revenue receipts and non-debt capital receipts.
- **Fiscal policy:** Fiscal policy is a change in government spending or taxation designed to influence economic activity.
- **Free market:** A free market is a market in which there is no economic intervention and regulation by the state, except to enforce taxes, private contracts, and the ownership of property.
- **Inflation:** A persistent rise in the price levels of commodities and services, leading to a fall in the currency's purchasing power.

- **Monetary policy:** Monetary policy is a tool that a national Government uses to control the supply and availability of money, to influence the overall level of economic activity in line with its political objectives.
- **Money supply:** The total supply of money in circulation in a given country's economy at a given time. This includes the entire quantity of bills, coins, loans, credit and other liquid instruments in a country's economy.
- **Open economy:** An open economy is an economy in which there are economic activities between domestic community and the international community.
- **Required reserve ratio:** The percentage of its deposits that a bank must keep as its reserves.
- **Statutory liquidity ratio:** The portion of the total deposits of a bank that it is required to keep with itself in the form of specific liquid assets.

2.8 Terminal Questions

1. State some factors that are part of the Economic Environment.
2. In what way are Global market conditions important for a business firm?
3. What are Fiscal Policies?
4. Explain the different instruments of Monetary Policies.
5. What are the factors causing change in Aggregate Demand?

2.9 Answers

Self Assessment Questions

1. rise, prices
2. demand, goods, services, price level
3. Currency, Demand deposits
4. economic transactions
5. five, takeoff
6. Low income economies, Lower middle income, Upper middle income, High income, GNI per capita.
7. Taxes, Government Spending
8. open market operations
9. expansionary
10. Bank/Discount

11. All of the above
12. Decrease, increase
13. exchange rate, foreign income
14. fall

Terminal Questions

1. Sec. 4.2
2. Sec. 4.3
3. Sec. 4.4
4. Sec. 4.4
5. Sec. 4.5

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